WARRANTY ATLAS · Michigan (MI)

Law last amended: 2018 (eff. 2019-03-28) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-12

Cites: Mich. Comp. Laws § 445.1577a (labor-rate method); Mich. Comp. Laws § 445.1577(1), (3)-(11) (compensation, claims, chargebacks, audits); Mich. Comp. Laws §§ 445.1580, 445.1581 (remedies)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 445.1577(1)
Mfr-backed service contract	**Not addressed**	-	§ 445.1577(1)
CPO warranty	**Not addressed**	-	§ 445.1577(1)
Independent service contract	**Not addressed**	-	§ 445.1577(1)

Hourly rate: The principal factor is the retail labor rates of similarly situated same line-make dealers in a comparable area of Michigan. A dealer seeking more than the agreed rate submits 100 consecutive and sequential non-warranty customer-paid ROs or 90 consecutive days of them, whichever is less, no older than 180 days. Labor rate is total labor sales divided by hours. The manufacturer has 45 days to approve or contest; the rate takes effect 30 days after approval. Disputes go to ci…

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Must be 'specifically disapproved in writing' within 30 days after receipt of the claim form	Mich. Comp. Laws § 445.1577(3); (6)
Payment	30 days after approval. Dealer filing deadline: Silent. No right to resubmit is stated. A claim may not be denied for an incidental failure to follow a processing requirement, such as a…	
Chargebacks	12 months; fraud: 6 years after payment for fraudulent claims. Chargeback only if the claim is fraudulent, or false, unsubstantiated, lacking proper documentation, or shows an improper diagnosis process or repair procedure. The dealer has 14 days after chargeback notice to supply documentation ((5)). Before any chargebac…	Mich. Comp. Laws § 445.1577(4)(b); fraud (4)(a); (5), (10),…
Rate resubmission	once per calendar year. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Routine maintenance, Tires, Prep / reconditioning, Accessories, Collision / body / glass, State inspections, Goodwill, Government.	Mich. Comp. Laws § 445.1577a(2)(a); formula (2)(c); exclusi…
Mfr response	45 days; no response = approved: Yes. Challenge: Contest within 45 days by 'reasonably substantiating that the rate is inaccurate, incomplete, or unreasonable' in light of the principal factor: retail labor rates of similarly situated same line-make dealers in a comparable geographic area of Michigan ((1)(b… Forum: Circuit court of the dealer's county. File within 60 days after recei….	Mich. Comp. Laws § 445.1577a(2)(c)-(e)
Penalties	§ 445.1580(2): the manufacturer is liable for all damages the dealer sustains from a violation. (3): declaratory judgment. (4): all court costs and reasonable attorney fees. § 445.1581: injunctive relief or TRO, which may be granted without bond.	Mich. Comp. Laws §§ 445.1580, 445.1581
Audit procedures	Audit climate score 30/100 (Elevated restrictiveness; chargeback limits 19/75 + process and oversight 11/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: yes; frequency cap: none; written reasons: yes; response period: 45 days; internal appeal: yes; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(Mich. Comp. Laws § 445.1577(3); (6)): "Any claim not specifically disapproved in writing within 30 days after the manufacturer receives the claim form is considered approved, and the manufacturer shall pay the claim within 30 days."*
Chargebacks *(Mich. Comp. Laws § 445.1577(4)(b); fraud (4)(a); (5), (10),…): "the manufacturer may not charge back the amount paid if the claim is found to be false, unsubstantiated, to lack proper documentation, or show an improper diagnosis process or repair procedures more than 12 months after payment."*
Rate *(Mich. Comp. Laws § 445.1577a(2)(a); formula (2)(c); exclusi…): "100 consecutive and sequential nonwarranty customer-paid service repair orders that contain repairs for like services or all nonwarranty customer-paid service repair orders covering a period of 90 consecutive days, whichever is less."*
Factory time *(§ 445.1577(1)): "A manufacturer shall also include in the schedule of compensation a reasonable time allowance for labor for diagnostic work and repair work, included in the manufacturer's labor time allowance or listed as a separate compensable item."*

Notes

The deemed-approval sentence in (2)(c) ('If a manufacturer fails to disapprove within 45 days ... the declared retail rate is considered approved') sits among the parts-markup sentences. The labor sentences only require approval or disapproval within 45 days. Applying deemed approval to labor is a reasonable reading but an inference. The time allowance comes from the manufacturer's schedule; the dealer may request more diagnostic or repair time, and the manufacturer 'shall not unreasonably deny' it. The reimbursement duty covers recall and warranty service required by the manufacturer. The Act's promotion/incentive claims run on a 15-day payment clock ((9)). Act 118 has no administrative penalty.

Source: official · https://www.legislature.mi.gov/Laws/MCL?objectName=mcl-445-1577 ; https://www.legislature.mi.gov/Laws/MCL?objectName=mc… · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.